

1. Started business with bank ₹5,00,000
2. Purchased machinery ₹1,20,000 by cheque
3. Paid carriage on machinery ₹5,000
4. Purchased goods from Sohan Lal ₹70,000
5. Sold goods to Ankit ₹90,000
6. Received advance from customer ₹20,000
7. Paid advance rent for 6 months ₹24,000
8. Paid wages ₹7,500
9. Interest on capital charged @5%
10. Received bill receivable from Ankit ₹30,000
11. Discounted bill from bank at 2%
12. Ankit became insolvent and paid only 60 paise per rupee
13. Depreciation on machinery @15%
14. Goods worth ₹8,000 distributed as free samples
15. Bank charges ₹850